5.6 The 2008 Financial Crisis

Video: The 2008 Financial Crisis (Crash Course Economics)

Mortgages

To buy a house, people often borrow from a bank. The bank gets a piece of paper called a _____.

If the homeowner stops paying, that is called a _____, and whoever holds the mortgage gets the house. Banks often sell mortgages to a third party.

How the Problem Grew

In the 2000s, investors looking for low risk and high return poured money into the U.S. _____.

Financial institutions bundled thousands of mortgages together and sold shares of the pool as _____.

Credit ratings agencies gave many of these securities _____ ratings, the best of the best.

To create more securities, lenders loosened their standards and made loans to people with low income and poor credit, called _____ mortgages. Some used _____ lending practices.

Traders also sold even riskier products called collateralized debt obligations, or _____.

The Bubble Bursts

The _____ burst when people could not keep up with their mortgage payments. Defaults rose, supply went up, demand went down, and home prices collapsed.

_____ were sold as insurance against mortgage backed securities. AIG sold many without money to back them up.

Lehman Brothers declared bankruptcy, panic set in, credit markets froze, and the _____ crashed.

The Government Response

The Federal Reserve offered _____ to banks.
_____ (Troubled Assets Relief Program), often called the bank bailout, helped shore up banks, automakers, AIG, and homeowners.

The Treasury ran _____ on the largest banks.
Congress passed a stimulus package of over $800 billion in January 2009.
In 2010, the _____ law aimed to increase transparency and reduce risk. There is no consensus on whether it is enough to prevent future crises.

Lessons Learned

Term	Meaning	Example
	A policy that has the opposite effect of what was intended	Brokers got bonuses for lending more, which encouraged risky loans
	Taking on more risk because someone else bears the burden	"_____" banks expecting a bailout

The Financial Crisis Inquiry Commission placed blame on regulators who failed to supervise the system, on years of _____, and on a financial industry where everyone borrowed too much and took too much risk.

Think About It

Why is it important to understand a loan's terms (like an adjustable rate) before you sign it?

_____